High-Yield Revision Sheet: Open Economy, Trade & Globalisation

Subject: Macroeconomics & Indian Economy | NCERT Class 10 Ch. 4 & Class 12 Ch. 6 | UPSC & State PSC Core

⚡ 30-Second Snapshot

- The **Balance of Payments (BoP)** tracks all economic transactions between domestic residents and the world, balancing through the identity: Current Account + Capital Account equals Zero.
- The **Current Account** covers trade in visible goods, invisible services, factor earnings, and unilateral transfers, while the **Capital Account** tracks cross-border asset ownership (FDI, FII, loans).
- **Autonomous transactions** ("above the line") are driven by commercial profits, whereas **accommodating transactions** ("below the line") are central bank actions that balance BoP gaps.
- India follows a **Managed Floating Exchange Rate** regime, where market forces set the baseline rate and the RBI intervenes to curb severe currency volatility.
- In an open economy, imports act as an income leakage, making the **Open Economy Multiplier** smaller than the closed-economy equivalent.
- While post-1991 **Globalisation** provided urban consumers with greater choice and attracted foreign investment, it introduced severe import competition for small domestic producers.

🏛 Balance of Payments: Structural Matrix

Account Category	Sub-Component / Transaction	Nature of Economic Flow	BoP Ledger Treatment
Current Account	Merchandise Trade (Balance of Trade)	Cross-border exports and imports of physical goods	Exports are Credits (+); Imports are Debits (-)
Current Account	Net Invisibles	Cross-border software services, remittances, gifts, and factor income	Inward receipts are Credits (+); Outward transfers are Debits (-)
Capital Account	Foreign Direct Investment (FDI)	Non-resident acquisition of physical productive assets and equity control	Equity inflows are Credits (+); Overseas investments are Debits (-)
Capital Account	Portfolio Investment (FII)	Cross-border financial transactions in domestic stocks and debt securities	Foreign fund inflows are Credits (+); Capital repatriation is Debits (-)
Capital Account	External Sovereign & Commercial Debt	Long-term external loans and commercial paper borrowings	Loan inflows are Credits (+); Loan repayments are Debits (-)
Official Reserves	Central Bank Forex Reserve Transactions	Accommodating settlement flows to balance overall BoP deficits or surpluses	Reserve sales are Credits (+); Reserve additions are Debits (-)

⚖ Exchange Rate Systems & Globalisation Dynamics

- **Exchange Rate Regimes & Adjustments:**
  - **Flexible Floating:** Rates fluctuate freely based on private currency demand and supply with zero central bank intervention.
  - **Fixed Peg:** The government sets a fixed official rate, trading domestic and foreign reserves to defend the peg.
  - **Managed Float ("Dirty Float"):** Market forces determine general trends, but the central bank enters the market to moderate sharp speculative swings.
  - **Adjustment Terminology:** Under floating rates, market drops are called **Depreciation** and gains are called **Appreciation**. Under fixed regimes, official administrative cuts are called **Devaluation** and administrative increases are called

Revaluation.

- **Macroeconomic Import Leakage:**
    - In an open economy, Aggregate Demand equals C + I + G + (X - M).
    - As national income rises, a share leaks abroad through the **Marginal Propensity to Import**.
    - This import leakage reduces the domestic ripple effect: Multiplier equals 1 / (MPS + Marginal Propensity to Import).
- **The Challenge of Fair Globalisation:**
    - **The Asymmetric WTO Dilemma:** Emerging markets cut tariffs on manufactures, while developed countries continue using domestic agricultural subsidies that distort competitive trade.
    - **Domestic Trade-Offs:** Tech and services sectors gain global scale, but informal laborers face insecure contracts and small enterprises face intense import competition.
    - **Policy Imperative:** Achieving fair globalisation requires state support for small businesses, enforcing basic labor rights, and establishing strategic safeguards against dumping.

⚠ Common UPSC Exam Traps

- **Trap 1 (Balance of Trade vs. Current Account):** The Balance of Trade includes only trade in physical merchandise. The Current Account is broader, combining the Balance of Trade with Net Invisibles (services, factor earnings, and unilateral remittances).
- **Trap 2 (Depreciation vs. Devaluation):** Currency depreciation is a market-driven drop under a floating exchange rate. Currency devaluation is an intentional administrative downward peg adjustment by the government under a fixed regime.
- **Trap 3 (Autonomous vs. Accommodating Flows):** Commercial foreign investments (FDI, FII) are autonomous ("above the line") transactions driven by profit. Central bank reserve operations that balance trade deficits are accommodating ("below the line") transactions.
- **Trap 4 (Multiplier Magnitude in an Open Economy):** The open economy multiplier is not larger than the closed economy multiplier. Because imports redirect spending toward foreign markets, the open economy multiplier is strictly smaller.

🎯 High-Yield Facts Box

Parameter / Concept	Operational Benchmark	Governance & Policy Relevance
BoP Identity	Current Account + Capital Account = 0	Fundamental macroeconomic accounting identity governing cross-border payments.
Above the Line	Autonomous commercial transactions	Determines whether the underlying external account has a genuine deficit or surplus.
Below the Line	Accommodating reserve adjustments	Central bank operations deployed to protect currency and external account stability.
Exchange Rate Regime	Managed float	Enables the RBI to preserve external competitiveness while containing imported inflation.
Purchasing Power Parity	Long-run price parity across currencies	Structural anchor used to assess real currency overvaluation or undervaluation.

📝 Prelims Practice Challenge

Q1. Consider the following economic transactions:

1. Inward remittances transferred by non-resident Indian citizens to their families
2. Equity investments made by a foreign institutional investor in domestic blue-chip corporate equities
3. Software and IT consulting fees received by a domestic technology firm from foreign clients

4. Commercial borrowings raised abroad by a domestic manufacturing firm

Which of the transactions given above are categorized under the Current Account of the Balance of Payments?

- (A) 1 and 3 only
- (B) 2 and 4 only
- (C) 1, 2, and 3 only
- (D) 1, 3, and 4 only

> **Answer: (A) 1 and 3 only**
> **Explanation:** Statements 1 and 3 belong to the Current Account under Net Invisibles (remittances are private unilateral transfers, and IT fees are non-factor service exports). Statements 2 and 4 involve cross-border financial claims and liabilities (portfolio investment and external commercial borrowing), placing them in the Capital Account.

Q2. Consider the following statements regarding exchange rates and open-economy macroeconomics:

1. A deliberate downward revision of the domestic currency value against foreign currencies by the monetary authority under a pegged regime is termed depreciation.
2. The open economy investment multiplier is smaller than the closed economy multiplier due to the leakage of domestic purchasing power into imports.
3. Accommodating transactions in the Balance of Payments are undertaken independently of external imbalances to maximize commercial returns.

Which of the statements given above is/are correct?

- (A) 1 and 2 only
- (B) 2 only
- (C) 2 and 3 only
- (D) 1, 2, and 3

> **Answer: (B) 2 only**
> **Explanation:** Statement 1 is incorrect because an official downward adjustment under a fixed regime is called devaluation; depreciation refers strictly to market-driven currency declines under floating rates. Statement 2 is correct because the Marginal Propensity to Import diverts spending abroad, dampening the domestic multiplier. Statement 3 is incorrect because accommodating transactions are undertaken deliberately by central banks to finance deficits or surpluses generated by autonomous transactions.

🖉 Mains Practice Question (10 Marks / 150 Words)

Question: *"Distinguish between autonomous and accommodating transactions in the Balance of Payments. In this context, analyze why post-1991 globalisation has produced uneven socioeconomic outcomes across different sectors of the Indian economy."*

💭 Structured Answer Framework:

- **Introduction (25–30 words):**
  Define the Balance of Payments framework: autonomous transactions ("above the line") are market-driven commercial flows carried out for profit, whereas accommodating transactions ("below the line") are central bank reserve operations designed to finance resulting imbalances.
- **Body Arguments (80–90 words):**
  - *Socioeconomic Dividends:* Trade liberalisation, tariff cuts, and foreign investment after 1991 created new export growth in service hubs (IT and business processing), expanded consumer product choices, and integrated domestic firms into global supply chains.
  - *Structural Asymmetries:* The benefits of globalisation have been uneven. Small-scale manufacturing units and traditional artisans struggled against cheap mass imports (such as electronic components and toys).
  - *Labor Market Vulnerabilities:* Global competition led to informalization and contract labor arrangements, while skilled urban professionals captured the bulk of wage

gains.

- **Conclusion / Way Forward (25–30 words):**
  Achieving fair globalisation requires combining trade integration with strong domestic labor standards, strategic safeguards against predatory import dumping, and targeted technical support for micro and small enterprises.

✍ Notes & Updates